



RISK MANAGEMENT POLICY

COMPLIANCE AND RISK MANAGEMENT (CRM) DEPARTMENT

(Right Vision Securities (Pvt.) Limited)

*PMEX Rule Book
Futures Brokers (Licensing and Operations) Regulations, 2018
Securities and Exchange Commission of Pakistan (Anti Money Laundering and
Countering Financing of Terrorism) Regulations, 2018*

Version 1.0

Risk Management Policy

Document Information and History

Regulatory coverage	PMEX Rule Book, Futures Brokers (Licensing and Operations) Regulations, 2018, SECP Reg., 2018
Ownership of Document	Compliance and Risk Management Department
Reviewed and Endorsed By and Date	Consultant and Internal Auditor Date:- October, 2025
Approved by and Date	Board of Directors (BODs) Date:- November, 2025
Document Version	1.0
Date of Last Revision	-----
Effective Date	November, 2025 (As and when approved by BODs)

Date	Version	Change Reference
July, 2025	1.0	Creation of document

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Risk Management Policy

1. TITLE

This Policy shall be called '**Risk Management Policy**'. It shall come into force as and when approved by the Board of Directors (BODs) of Right Vision Securities (Pvt.) Limited (hereinafter called as 'RVSPL'/'the Company').

2. BACKGROUND

Equity and Commodities Markets form an integral part of the country's financial system. In the finance industry, risk management policies are vital for commodity brokers, guiding them in assessing and mitigating potential market risks. Such markets are exposed to several major risks in the course of their business-like Operational Risk, Credit Risk, Liquidity Risk, Compliance Risk, Strategic Risk, Systemic Risk etc. Managing risk is fundamental and is the key to sustain profitability and stability of any entity.

In compliance with *CHAPTER XX: SYSTEM AUDIT (REGULATORY COMPLIANCE) REGULATIONS no. 20.9 (3) of PMEX Rule Book, Section 95-3(b) of Future Market Act, 2016*, it is imperative for Right Vision Securities (Pvt.) Limited (RVSPL) to formulate a comprehensive Risk Management Policy and Procedure to assess and mitigate potential market risks. In this context, Right Vision Securities (Pvt.) Limited (RVSPL/the Company), while carrying out trades in commodities, is also exposed to such array of risks. Risk Management Policy of the Company seeks to minimize unfavourable impact on the business objectives and develop stakeholder value. Further, the risk management practices seek to sustain and enhance long-term competitive advantage for the Company.

Being a Future Broking Company at Pakistan Mercantile Exchange Limited (PMEX), Right Vision Securities (Pvt.) Limited (RVSPL) is required to ensure that a proper policy framework on Risk Management System is implemented to reduce the risk of client default in particular and other various types of risks in general. The policy is formed in compliances with the applicable Rules and Regulations. The Board of Directors ("Board") of Right Vision Securities (Pvt.) Limited ("Company" or "RVSPL"), has adopted the following policy which covers all necessary practices relating to identification, assessment, monitoring, surveillance and mitigation of various risks that could potentially impact financial operation and clients investment, consequently slow down the commodities trading activities of the company.

3. INTRODUCTION

Right Vision Securities (Pvt.) Limited (hereinafter referred as “RVSPL” or “The Company”) incorporated in June 04, 2025 as a Private Limited Company, registered with Pakistan Mercantile Exchange Limited (PMEX) as an Universal TREC holder and licensed under SECP to carry out trading activities in commodities as a Future Broker Company at PMEX trading platform which is regulated by Securities and Exchange Commission of Pakistan (SECP) through their respective rules, regulations and directives issued from time to time. RVSPL, a professionally managed company, predominantly offers all commodities market products listed at PMEX to its customers. The main target client segment is the retail and corporate sector. In the course of carrying out its trading activities, the company is exposed to various types of risks which may include but not limited to market risk, credit risk, liquidity risk, default risk, delivery risk, operational risk etc. Other commodity risks include Price risk, quantity risk, cost risk, and regulatory risk.

Definition of Risk; in its broad spectrum, it is the process of protecting the company’s Assets, Liabilities and Resources from loss and damage. Oxford Dictionary defines the term “risk” as a chance or possibility of danger, loss, injury or other adverse consequences.

Definition of Risk Management: As defined in PMEX Rule Book; *Risk Management includes the method of assessing, measuring and controlling risk using statistical techniques routinely used in other technical fields*

4. OBJECTIVES

Apart from optimizing trading and commodity risk management activities, the main objective of RVSPL to become a risk free credible and leading full service Future Brokerage Company to provide opportunities to the investors of across the country who wish to invest in the commodities to take advantages of the growing business of commodities trading and to optimize return out of their investment as well. To achieve this, RVSPL aspires to help the investors, which are potentially one of the key players of a strong Commodities, Financial and Capital Markets. The formation of this policy is contemplated to help RVSPL to manage and mitigate the risk occurring at various levels to the client and the company from the volatility of the market

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In pursuing its business, RVSPL will operate according to the highest ethical and compliance standards and constantly seek to follow best practices in the market. Under no circumstances will contravention of laws and relevant regulations be tolerated.

The main objectives of this Policy are précised hereunder:

- To protect the interest of both the brokerage house and its clients from financial loss due to adverse market fluctuations by implementing structured risk assessment procedures.
- Framing the future risk exposure with adequate risk management system elaborating internal and external risks
- Risk mitigation plans for internal control
- Enhance operational efficiency
- Procedure for risk management of exposure in commodities and financial products
- To make sure transparency, uniformity and stability in trading activities involved risks
- To ensure adherence of applicable settlement mechanism and PMEX Regulations amended from time to time
- To safeguard customers investment from risks and ensure customers satisfaction and maximum return on investment by eliminating or minimising the impact of market price volatility.
- To secure friendly and smooth trading environment by conducting regular market analysis, adherence of risk limits as devised in PMEX Regulations.

4.1 Aim and Scope of Policy:

4.1.1 RVSPL envisaged to protect both the brokerage house and its customers during the volatile market conditions, unforeseen market fluctuations, massive speculations and thereon the expected financial losses that may reduce the trading capacity of the customers. Hence, structured risk assessment procedures should be put in place whereby identification of potential threats may be ensured to minimize the loss of market risk due to adverse movements in the level or volatility of market prices of products or the underlying exposure of products held by RVSPL for its proprietary account and/or in the client's accounts.

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- 4.1.2 The Policy establishes Risk Management Framework in commodities trading and defines the procedure and controls for a robust management of risks inherited during the Company's operation while carrying out trading activities in the Commodity Exchange.
- 4.1.3 This policy encompasses regular market analysis, adherence to margins regime, approved exposure and risk limits at various levels, daily reporting procedures, data handling and record retention policies. For stability, to build decision making capacity to foster a secure trading and risk free environment, it is imperative for the brokerage house to operate and to carry out trading business within the regulatory framework.

5. RISK MANAGEMENT POLICY FRAMEWORK

Risk is the main cause of uncertainty in any organisation. Risk management is considered as one of the key drivers of growth of the company and further to enhance corporate governance in its letter and spirit. Accordingly, the Board has framed the following standard Risk Management Policy:

- Reviewing operations of the company, identifying potential threats to the company and taking appropriate actions to address the occurrence of most likely threats.
- To continuously thrive for available risks in the organization which directly or indirectly effect the functioning of the company?
- To ensure the protection of rights & values of Shareholders/stakeholders by establishing a well-organized Risk Management Framework.
- Selecting, maintaining and enhancing the risk management tools to provide analyses that inform and support the investment actions of the entire Organization.

5.1 Key Parameters for Risk Management

RVSPL believes to monitor on-line and off-line margin based automated Risk Management System and Back office Reporting mechanism at day end. In case of any shortfall in margins, the customers are informed with the agreed mode of communication to top up the margin requirements whereas margins are also controlled through automated risk management system. Following are the main parameters to be followed within the regulatory framework:

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a) KYC and CDD of clients

As per Company's policy on KYC and CDD, process of the clients shall be applicable in its true spirit and in compliance of *Clause 6 of Customer Due Diligence; SECP AML/CDD Regulations, 2018*. The Salient features are given below:

- No opening or maintenance of anonymous account or an account in fictitious name
- No opening of account of Government Entities, Autonomous Bodies and/or State Owned Enterprises (SOEs) on personal name of the respective employee unless special resolution or authority from the concerned administrative department or ministry duly endorsed by the Ministry of Finance or Finance Department/Division of the concerned Government is not produced/furnished
- Valid proof for account opening, Verification and documents of identification of clients or beneficial owner
- Reasonable steps through verification documentary evidences to determine Authorised person on behalf of the customer
- CDD is performed and updated accordingly; CDD includes as per aforesaid Regulations stipulated hereunder:
 - *Identification of the customer or beneficial owner;*
 - *Verification of the customer's/beneficial owner's identity on the basis of documents, data or information obtained from customer and/or from reliable and independent sources;*
 - *understanding and, as appropriate, obtaining information on the purpose and intended nature of the business relationship; and*
 - *monitoring of accounts/transactions on on-going basis to ensure that the transactions being conducted are consistent with the regulated person knowledge of the customer, the customer's business and risk profile, including, the source of funds and, updating records and data/ information to take prompt action when there is material departure from usual and expected activity through regular matching with information already available with regulated person.*
- All record and documents of clients are updated in CKO system for registration and UIN
- Implementation of Risk Management Procedures
- Delinquent clients are debarred as a customer of the company
- Maintenance of record of customers of closed account and/or refusal to establish business relationship
- FACTA forms are also filled duly signed by the clients

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b) Freezing of account

The Company may facilitate the voluntary freezing of trading account upon noticing any suspicious activity and repeated violation rules, regulations and this policy. To freeze account, accountholder can email at crmd037@rvspk.com or may also call at number: 042-35191195, 042-35191188. Under such scenario, the client should take due care of the obligations to be required to meet before request to freeze the account as given hereunder;

- All open positions must be closed
- No pending order in queue otherwise all outstanding orders shall be cancelled automatically
- Make sure settlement of contracts on expiry

The following activities are prohibited while the account is in frozen status;

- Modification in profile
- Deposit or withdrawal of funds
- Entry of fresh order
- Execution of pending orders

c) Unfreezing of account

The process to unfreeze the account is very simply, just email at crmd037@rvspk.com or call at number: 042-35191195, 042-35191188. The request shall be processed within the same day.

d) Client Risk Assessment

In compliance with the *Clause 3 of Risk Assessment in CHAPTER II PROCESS FOR RISK ASSESSMENT AND CUSTOMER DUE DILIGENCE of Securities and Exchange Commission of Pakistan (Anti Money Laundering and Countering Financing of Terrorism) Regulations, 2018*, the Company shall take appropriate steps to identify, assess and understand, its money laundering and terrorism financing risks in relation to its customers, products services and transactions. As provided in the regulations the appropriate steps include:

- i. Documenting the regulated person risk assessments;
- ii. Considering all the relevant risk factors before determining the level of overall risk and the appropriate type and extent of mitigation to be applied;

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- iii. Keeping the risk assessments up-to-date; categorizing the overall entity level risk as high, medium or low based on the result of risk assessment; and
- iv. Having appropriate mechanisms to provide its risk assessment information to the Commission.

On completion of KYC process, the company shall categorised the risk profile of customers in the following manners:

- Low Risk Customers
- Medium Risk Customers
- High Risk Customers
- Any other category as specified by SECP/PMEX

e) Client wise Exposure Limits

Exposure limits are set based on deposits/credits balance and collateral values in each client account. Such valuation is done on real time basis at the current rate of securities deposited as collateral. Margin requirements set the limits as specified by the Exchange. However, it may be changed under exceptional circumstances depending on market conditions operational and technological challenges. Client-wise limits for trading are set by Back-Office personnel keeping in view of collateral position and trading history. The following policy shall be adhered to define the limit setting:

- **Intraday Trading Limit;** auto-liquidation of open position shall be carried out at day-end
- **Open position limit for Delivery or Future Contract;** such types of open positions are settled as per settlement cycle defined by PMEX.

f) Order Quantity and Order Value Limit

The Company may impose limit on customer for placing of order. It depends on the customer trading history, to fulfil settlement obligations and adherence of margin regime. Such containment for single order and overall limits shall be subject to change at the discretion of the company and the customer's history with the company.

g) Margin Requirements

The Company shall strictly follow margin regime as stipulated in the Rulebook of PMEX Regulations. The Company shall ensure to maintain the minimum margin in the client's account as specified in the PMEX Regulations however, the margin may be invited over and above the prescribed margin foreseeing the risk profile of the client, financial position, trading history and exposure availed in the future contracts. In view of this, the Company may require its clients to post margin at higher amounts than those specified by PMEX. There are various types of margins as are specified in the PMEX Regulations. Brief description of such types is given hereunder:

- **Initial Margin;** it is the money deposited by both seller and buyer at the time of entering into the contract. This covers the largest potential loss in a single day. It is collected on upfront basis from each client in order to set trading limit otherwise system shall not accept order.
- **Special Margin;** it is applicable to control price volatility, excessive speculation and hitting/breaching of circuit-breaker. This margin protects investor's interest in volatile market. It is applied on all open positions and further trading is allowed s.t. deposit of special margin on upfront basis. It may be applied on specific commodities where rise in volatility is detected.
- **Variation Margin or Mark-to-Market Margin;** at the end of a day's trade, all losses must be covered by depositing further collateral to the extent of the deficit created in each account due to difference of traded value of open contract and the current value of the open contract . The profits for the day are credited to the variation margin account. It is collected to meet the unrealized and realised loss due to market fluctuations.
- **Additional Margin;** when the volatility in the markets increases, an additional margin is called to prevent any sort of payment crisis or default. This type of margin is collected over and above the VaR margin and it is not covered by VaR. It is collected to manage risks associated with large open position and market volatility. It is normally computed as a percentage of the value of the open position.
- **Delivery Margin;** It is collected from market players both buyer and seller on last five days before expiry date of contract which is settled physically of the underlying commodity. It is calculated on the basis of total contract value which

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is being settled on expiry of contract and delivery margin percentage differs from commodity to commodity. Delivery margin is imposed to avoid delivery default.

h) Margin Collection

The Clients are required to deposit margins in cash or any other forms of securities as specified by the PMEX. Some margins are collected on upfront basis while other types of margins are collected at day end and/or before opening of next trading session. Cash and non-cash margin also depends on risk perception, market volatility and customer's profile. Failure to meet margin obligation shall lead to square-off the open position automatically without any intimation to the client.

Margins may be deposited through Direct Fund Model (DFM) whereby the customers can deposit margins directly with the PMEX and withdrawal request can also be generated to transfer funds directly into their designated bank account. Under this arrangement of margin deposit via DFM, 24-digit sub-collection account (SCA) at MCB is issued to each trading account to allocate fund into PMEX designated trading account. The SCA is reflected in the customer's profile in Back Office (BO) application.

The customers can transfer funds to PMEX by multiple modes which include:

- **Online transactions;** for transferring of funds to SCA through the banking portal and same are reflected in the customer's trading account accordingly. Online transactions include Inter Bank Funds Transfer (IBFT), RTGS and Intra Funds Transfer (IFT) is available through DFM.
- **Over-The-Counter Transactions;** physically deposit of funds through banking credit instruments like Draft, Pay Order, Cross Cheques at MCB Branches in the designated account of PMEX as per procedure of deposit slip with special code ('MF-71') of deposit slip.
- **Digital payment;** as per SECP directive dated August 26, 2025, the clients are also allowed to make digital payments through QR Code, POS, Soft POS, internet and mobile-based payments mechanism. The Company may accept payments made through digital mode w.e.f., start of its operation.

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i) Suspension of Account

The Company shall suspend the account if serious non-compliance of the company's policy has been occurred on part of client. Such suspension could be carried out on instruction of SECP and/or PMEX or any other investigating regulatory authority.

j) Closing of Account

If a client wishes to close his account, he shall be required to submit Account Closure Request Form provided at website of the company. The company shall close account subject to no outstanding dues and no other liabilities stand on part of client. The Company shall update the status in CKO system for blocking of UIN. The company shall not retain any security and/or cash in such account.

k) Dormant Accounts

Any client which remains inactive for the last 06-months or as specified by the PMEX shall be declared a dormant account. No transaction shall be carried out until re-activated as per process of the Company which includes receipt of request for activation of account, KYC process, proper identity proof in original, IPV etc.

In order to re-activate trading account, the broker informs the PMEX for issuance of Sub-Collection Account (SCA).

5.2 Risk Assessment of Customers

Every brokerage house evaluates residual risk and compares it with the risk tolerance then next step is to build Risk Matrix for all types of customers. The categorisation of customers depends on the **Customer Profile** (income source, customer's background, residential status, Geographical location) **Financial Factors** net worth, Corporate Borrowing CIB report) and **Credit Flags** (type of business, Operations and dealings, PEPs, Online account opening remotely opened) references, and other parameters of financial position. As such, based on the due diligence measures on risk sensitive basis each of the customers shall be divided in three categories HIGH, MEDIUM and LOW which shall be reviewed every year and/or on need basis. Risk Matrix is depicted in tabular form given hereunder;

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Risk Level	Classification of Individuals / non-individual's customers	Due Diligence
High-Risk	PEPs and their associates, Non-resident, NGOs, Trusts, Charity, Companies with family as majority shareholders, Unscrupulous persons, High Net-worth individuals, Cash intensive related businesses etc.	Enhanced
Medium-Risk	Dealers and Commission agent, Wholesalers, Telecom service providers, Sole practitioners, Accountants, Notaries, Travel agency and telemarketers, Persons associated with Showbiz business.	Higher
Low-Risk	State-owned enterprises, Government Department and its employees, Private Companies and its employees, Banking companies' employees, Public Limited Companies, Individuals holder of valid CNIC, private sector employees, Regulators and Statutory bodies,	simplified

RVSPL shall in its initial level of doing business for the customers, marked as a Medium and High-Risk category; however, they may be subsequently re-categorized depending on their performance based on the experiences of business relationship with them. The basic principal behind this approach is that the concerned persons should adopt an enhanced customer due diligence process for higher risk customers. Conversely, a simplified customer due diligence process may be adopted for lower risk of categories of customers as described in the above-mentioned table. However, the company shall acquire minimum documentation and information as per regulatory requirement provided in PMEX Regulations and Futures Brokers (Licensing and Operations) Regulations 2018. The Company shall obtain the minimum/set of documents for individual: i.e., name, father's name, address, telephone number, copy of CNIC or Passport, sources of income and business/employment proof from various types of customers/account holders for examination and verification, at the time of opening of account. In line with risk-based approach, the type and amount of information and documents shall vary depending on the risk category of a particular customer and should be collected from the customer. The beneficial owners working should be done for all corporate clients and background check of all directors. In case of a customer who subsequently has turned out to be a Politically

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Exposed Person (PEP), proper risk management system should be put in place to determine the beneficial ownership from such customers or potential customers. Once we are privy to such publicly available information or the commercial electronic database of PEPs, we should seek additional relevant information from such customer pertaining to ownership issues and other risks associated with such persons, we should continue or terminate the relationship after giving notice in advance. As a policy without concurrence of top management, no such identified PEP account is to be blocked or restricted to carry out trading at all or in a controlled environment.

5.3 Risk Management Techniques

The following are the main market players in the Future and Derivative Markets who plays an important role to provide the liquidity of the markets and thereon manage the risk:

- Hedgers
- Speculators
- Arbitrageurs
- Market Makers

5.2.1 Diversification

It means that an investor can reduce market risk simply by investing in many unrelated instruments. The general and well known concept is often described in the capital market by the saying *“Don’t put all your eggs in one basket”* thereby meaning, always invest in a range of assets classes available in the market i.e., use diversification to optimize portfolio. This technique shall offset losses from one investment into gains from another class of assets. By diversifying investment into different classes shall reduce exposure to any single commodity.

5.2.2 Hedging

Hedgers manages risk in derivative market by taking position in the spot market and opposite position in the Future Market in a specific contract of the same commodity and mitigate future price risk. Producers of commodities normally secure price risk by entering into future contract expired at the time of production of their corp.

5.2.3 Arbitrage

Arbitrageurs exploit price difference in two different markets. This technique is used by buying/selling of a product in low/high priced market and make profit from discrepancies of the prices in different markets.

5.2.4 Option Contract

An option contract is a financial agreement executed between two parties for a potential transaction which gives to the buyer the right, but not the obligation, to buy or sell an underlying security (particular asset) at a specific quantity at a specific price (Strike price) on or before a specific date in the future (maturity date).

5.2.5 Stop Orders

Generally, stop order is known as stop-loss order, this command in a trading system is used by the trader/investor to give instruction to buy or sell a stock at the specified price level i.e., stop price. It triggers automatically when price reaches at certain level as specified. So, stop order exits a long or short position when market price reaches at the specified price.

Stop orders are of three types namely; stop-loss, stop-entry and trailing stop-loss

- **Stop-loss Order;** this command is used to buy or sell a commodity once market price reaches at a specified price level. This order type limits the potential losses on an open position of a trader/investor.
- **Stop-entry Order;** this type of command is used to enter in the market in the direction of a favourable move of the market. In a bullish market, stop-entry is used for a long position and vice versa.
- **Trailing stop** is an order to buy or sell, a security moves in an unfavourable direction, trailing stop automatically adjust to the market price of a stock and protect profits from a market reversal. It is a great way to protect profits and stay in a position until market trend is reversed.

In addition to the above different types of orders can be placed at PMEX trading platform vis-à-vis

- **Market order;** placing of an order for buying and selling of a contract at the prevailing available best market price
- **Limit order;** buying and selling of contract at the specific price set while entering order in the system. Order executes only at the limit price placed by the operator of the system.

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- **GTD Order**; such type of order allows to specify the days/date up to which the order should stay in queue in the system. On expiry of specified date and day, the order automatically flushed by the system.

5.4 Risk Control Policy and Procedure

RVSPL shall implement and follow the policy of margin norm as prescribed in the relevant Regulations and Directives. In the event of shortfall of margin, a margin call shall be sent to the customer electronically or physically as agreed by any mode of communication vis-à-vis SMS, Telephonically, email, issuance of notice etc., the failure to pay margin by a customer may lead to auto liquidation of open position to top up the margin. However, on safe side, no further exposure shall be permitted in the account where shortfall occurs except to allow the squaring-up of open positions to reduce the outstanding exposure. The Company shall inculcate its customers to deposit margins on upfront basis including initial margin whereas to meet the shortfall of other types of margins may be deposited before opening of next trading session otherwise placement of orders which increase the exposure shall not be allowed.

The Company shall monitor the collateral positions during and after the closing of market on regular basis. If the deposited margins are eroded beyond 80% to 90% or any point of time during the trading session due to mark-to-market losses or other margins requirements, the customer's position and/or deposited collateral shall be liquidated preferably with intimation to the customer vide any mode of communication as agreed. In case of failure to inform the respective customer or non-receipt of any response from the customer, will result initiation of risk control action i.e., auto liquidation of open positions and/or collateral of the customer to the extent of shortfall of margins. It would be appropriate that the customer should be vigilant regarding their margin and collateral position hence, preferably to maintain sufficient deposits of margin in their account and avoid taking further exposure until further collateral are not deposited on upfront basis. The company may intimate the customer for eroding of margins on reaching such percentage limit. However, policy of such percentage of eroding margins may be changed from time to time and from customer to customer based on its risk profile and other parameters of the customer.

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The company shall provide facility to clients to monitor the details of margins deposited and other charges vide the daily margin statement reports and update the same under the client secured login at the company's website.

5.5 Responsibility

Compliance and Risk Management (CRM) Department is the sole responsible to monitor the margin requirements and thereon the collateral positions of the accounts. In case of margin shortfall exists despite the intimation to the customer then it shall be immediately reported to the Head/Manager of CRM Department. The Head/Manager is authorised to take necessary action if any of the above scenario occurs. Such action may be restriction to take further exposure, squaring-up of open positions, and liquidation of collateral etc. However, preferably any kind of action must be initiated with prior approval from higher authority.

5.6 Segregation of Duties

RVSPS shall strictly monitor and maintain at all times the following minimum segregation of duties:

- Designated staff members are allowed to execute transactions
- Order placement from middle office and back office personnel are prohibited
- Approved risk and exposure limits are monitored by CRM Department whereas assessing compliance of this policy rest with middle-office personnel.

5.7 Prohibited Activities

In pursuance to high ethical standards, integrity and compliance, the Company shall not allow any personnel to involve in the activities which are contradictory to Rules and Regulations vis-à-vis;

- No cash dealing in any form to prevent money laundering
- No acceptance of deposit at personal level for sharing of capital gains
- No fixed return agreement against deposits; deposits are used only for investment purpose and trading activities in commodities future contracts
- No sharing of client's data, user ID and Password except investigating authorities if requested. Login credentials of customers are secret information to prevent unauthorised access of accounts.

6. RISK MANAGEMENT PROGRAM

Risk management is important for any organization particularly for a financial institution where public money is involved because it helps to define objectives of a company for the future. If a company defines objectives without taking the risks into consideration, strong chances are there that they will lose direction once any of these risks occurs.

The Board of Directors ("Board") and the Management of RVSPL recognizes that the , Commodities Market, Capital Market and Financial Services Industry are experiencing significant and rapid changes in the context of global trend urging the developing countries to strengthen their financial system commensurate with the international standards. The Board and the Management further recognize that a comprehensive program is essential to effectively manage the company's risks.

This policy generally describes the internal control and risk management program of RVSPL like having other broking companies to keep their business free of risk. It also describes the management structure, through which the Company will identify the measure, monitor and control risk throughout the Company's operations.

6.1. Internal Control and Risk Management

An effective internal control and risk management program is the foundation of safe and sound trading activities. When properly designed and consistently enforced, an effective system of internal control will help management safeguard the company's resources, and comply with laws and regulations. It will also reduce the possibility of significant errors and irregularities, as well as assist in their timely detection when they do occur.

6.2. General Control Environment

The General Control Environment sets the tone of an organization and influences the control consciousness of its people. It is the foundation for all other components of the system of internal control, providing both discipline and structure. The hallmark of an effective general control environment is the commitment by the Board of Directors (BODs) and senior management, as evidenced by a number of criteria, including:

- The integrity, ethical values and competence of the organization's people;

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- The attention of the Board of Directors and senior management , to whether controls are working properly;
- The manner and timeliness in which the Board and management respond to regulatory and audit recommendations and address the deficiencies;
- Direction provided by the Board of Directors;
- Capacity building program for the Directors, higher management and managerial staff regarding regulatory framework and operational activities;
- The manner in which the Company hires and develops employees;
- Management's risk assessment, planning and oversight processes;
- Information systems that produce pertinent and timely information in a form that enables employees to carry out their responsibilities;
- Comprehensive, risk-based internal and external audit, and compliance review programs

6.2.1 Strong Physical and Information Security Programs

A strong General Control Environment is essential to provide a foundation for the management of risk. Without a strong General Control Environment, the effectiveness of specific controls, such as transaction, documentations and approval requirements, is diminished. The degree of the company and Management's control consciousness is also integral to the success of specific control procedures.

6.2.2. Specific Internal Control Environment

Once a strong General Control Environment has been developed, specific control procedures must be established to manage the frequency and severity of potential losses. These specific controls can be divided into two primary types: Preventive and Detective.

- **Preventive Controls** are designed to provide assurance that only valid transactions are processed and include, as examples, controls like:
 - Completed and duly signed application
 - Authorized transaction limits;
 - Securities deposits acceptable as collateral
 - Authentication and verification of required documents
 - Separation and rotation of duties;

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- Scheduled and unscheduled transaction review and testing; and
 - Password procedures to restrict access to computer systems and information.
- **Detective Controls** are designed to provide reasonable assurance that errors or irregularities are discovered and corrected. They include, for example,
- controls like: Reconciling subsidiary and general ledger balances
 - Margins and collateral position

6.3. Internal Risk Management Guidelines

Commodities trading business has risks associated with Future and Spot Contracts which arises in the event of failure of the customers to fulfil the margin calls and to meet the settlement obligations of the contract on its expiry date. RVSPL shall strictly follow and monitor internal risk management guidelines while conducting commodities future and/or spot contracts which include but not limited to:

- i. Limits on leverage as per assessed value of collateral
- ii. Better quality of collateral through stringent criteria for selection of securities
- iii. Limit on depositing for same type of collateral
- iv. Customer exposure limits as per risk based profile
- v. Diversification, preferably to receive different types of securities
- vi. Pre-determined margin call thresholds and
- vii. Pre-determined thresholds to liquidate collateral
- viii. Precautions on late payment of amount and/or margin
- ix. Auto-Liquidation; Initiation of Process of liquidation as per Predefined procedure

7. CATEGORIES AND TYPES OF RISKS

RVSPL as a future broking company faces a number of various risks as public money is involved in its trading business activities. There are essentially two types of risks inherent to any instrument traded in commodities business:

- **Systematic (non-diversifiable) risk;** this cannot be diversified. All brokerage companies more or less uniformly influenced by this type of risk

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- **Unsystematic (diversifiable) risk;** it is firm-specific risk, the degree of this risk vary from one brokerage to another brokerage company.

There are various types of risks in the risk management framework of the company which may impact the business with varying degrees. The main risks areas and mitigation strategies of the company are as follows;

7.1 Credit Risk (Delinquency)

- Credit Risk means the risk of a futures broker suffering loss due to a client default to meet obligations under a futures contract.
- Brokerage houses are exposed to the credit risk when a buyer enters into a contract agreement using leverage and fails to settle the contract at the time of its expiry. It is measured as the net current market value of the contract. Any leverage activity by the Company is exposed to credit risk or leverage risk arising from default of margin call in adverse movement of market. Improper use of leverage may cause substantial losses to the clients; hence necessity arises for effective leverage management.
- Credit risk is most simply defined as the potential that when counterparty will fail to meet its obligations in respect of either failing to meet margin requirements and/or failure of settlement of open positions on expiry of contract in accordance with agreed terms. A failure to recover the expected value of collateral security could expose the Company to a potential loss. Any such losses could adversely affect the Company's financial condition and results of operations. Such scenario may happen in extreme volatile market when additional and extreme loss margins (ELM) are required to be deposited in cash.
- The Credit Risk may be considered as Settlement Risk in the sense that in both the risk, settlement obligations is not fulfilled by the counterparty either the commodity itself and its associated payment. Hence, either buyer or seller of contract may fail to meet the settlement obligations at the expiry of contract.

Normally a credit risk arises from the following factors;

- Feeble Verification of auxiliary documents of account opening form
- Verification through unauthorised and unreliable sources
- Leverage positions beyond the financial capacity of customer
- Lack of monitoring of margins and risk management

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- Risk factor occurring from political influence in account opening and margin relaxation,

Managing Credit Risk

There are two critical components involved in credit risk management at the fundamental level; Credit decision and credit monitoring. Credit has to be assessed and managed at the;

- Individual exposure level
- Portfolio level

The Company shall categorise the management of credit risk into three tiers:

- i. Tier 1; Low Risk Counterparty:** (Eligible to trade on credit terms after approval of management of the Company)
- ii. Tier 2; Medium risk counterparty:** (Upfront deposit is required to enter into contract s.t. Cap on maximum exposure limit.
- iii. Tier 3; High risk counterparty:** (In addition to high percentage of deposit on upfront basis, a credit limit is also imposed to cap the maximum exposure.

7.1.1. Mitigation Policy

A strong credit risk management process helps in containing the portfolio quality of the company. At the time of opening account, the company shall strictly follow certain KYC procedure as devised by the SECP in its Regulations and Circulars due to stringent analysis of credit profile and to carry out precise credit risk analyses on the customers.

Key elements of the credit risk management include strict adherence of KYC policy and procedure, Continuous Due Diligence, Enhanced Due Diligence for high risk profile customers, Strict monitoring of leverage and open positions, a stringent criteria for collateral, a structured and standardized leverage approval process supported by a strong system, effective training programs, legal and technical due diligence, monitoring and robust credit risk management strategy at a senior management level.

- The Company also ensure the **quality of customers** acquired. Front Desk Officer/Operation Department is solely responsible for customer acquisition, identification, maintenance, and follows Up etc. Before carrying out transactions the

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responsible officer carries out proper check on customer's identity through KYC documentation etc.

- Although it may be believed that the **risk management controls** of the company are sufficient. Failure to formulate and implement additional risk management policies could have a material and adverse effect on our results of operations and financial condition.
- The Company shall put in place prudent risk limit, trading limit and position limits for each client or a group of connected clients on aggregate basis in order to mitigate client credit risk. Such risk limits will be placed based on the certain risk factors which includes but not limited to;
 - Risk profile of client
 - Open position in a single future contract or related future contracts
 - To total margin requirement on outstanding positions

7.2. Operational Risk

Operational Risk is the risk arising from procedural failures, external issues, fraud-Internal and External, information security etc. Operational risks are the vulnerabilities that a company faces in its daily operations, including concerns over portfolio quality, fraud and theft, all of which can erode the institution's capital and undermine its financial position.

The Risks inherent to business operations including those relating to client acquisition, service to clients, business support activities, information security, physical security, human resource and business activity disruptions.

Operational risk may arise from the following factors;

- Procedural failure may occur when there is higher volume of small value of transactions.
- External issues include natural calamities which effect day to day functions of the company.
- Fraud may be both internal and external. Internal fraud includes manipulation of accounts, unhealthy relationship with customers like spurious documents, KYC measures, malpractice etc. External fraud may include collusion with vendor and employees, pledging of property/gold/land in which the customer is not having

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legal title, connection with external person for provision of private information etc.

- Information security failure, virus attack, etc. issues may be affected due to server changing security Environment, hacking.

7.2.1. Mitigation Policy

- **Internal Audit** at the company should be carried out on a concurrent basis by a team of internal auditors who may or may not be employees of the company. Internal audit team identifies and resolves failure in procedure implementation, identifying manipulations, malpractices, fraud, security issues etc. An independent Internal Auditor firm appointed by the BODs conducts audits on continuous basis. Internal auditors conduct regular checking ensures that all activities are carried out as per norms/procedures as mentioned in the Procedural Operational Policy.

The scope of this Internal Audit covers all key functions of the Company including HR, MIS, Credit and Risk Management, Administration and Compliance, Finance and Accounts. The firm also audits the company's adherence to all Statutory and Regulatory Guidelines that have been prescribed for NBFC. The scope of these audits is reviewed periodically and modified to keep pace with a dynamic business environment. All significant audit observations of Internal Audits and follow-up actions are presented to the Board Audit Committee/Board in consultation with MD/CEO.

- **Outsourcing Policy:** As and when required, the management of the Company shall formulate an Outsourcing policy in accordance with BODs guidelines wherein a detailed check is done for all the outside vendors before any work is outsourced.
- **Performance based ranking:** A monthly review should be conducted and ranking should be defined in accordance with performance. The scope of these audits is reviewed periodically and modified to keep pace with a dynamic business environment. The departments which are not showing any improvement will be tracked and correcting measures are taken in consultation with HR department of the company.
- **Insurance of assets:** The Company have insured all its assets to cover the risks of loss due to theft, fire and other natural calamities.

- **Document Storage and Retrieval:** LSEFSL is well-aware of the need for proper storage of documents as also their retrieval for audit and statutory requirements. The Company is maintaining all the original documents at a dedicated space allocated for specific purpose.
- **Scanned Copies:** LSEFSL has also started storing scanned copies of all documents related to different departments and the loan documents as well for easy retrieval especially for audit purposes where physical documents are not required.
- **Technology Infrastructure:** The company has put in place a cloud-based technology and major business applications are hosted in secure data centres with paralleled redundancies such that in the event of any system going down, an alternate system (cloud-based DR site) is made operational within hours. At the facilities where Back office and credit, financial operations take place, alternate/back-up connectivity has been provisioned such that in the event connectivity is lost with one service provider, the alternate connection can be utilized.

7.3. Liquidity Risk

In the context of commodity trading, liquidity risk arises when demand-supply dynamics deviates from its equilibrium then it heightened volatility and market participants, consequently, leave impact on market liquidity. In such scenario, trade execution at the desirable price might be difficult. In such case opportunity cost also increases due to liquidity risk. Price spread become wider and execution of sale/purchase orders would be possible at unfavourable prices. So, highly liquid market converts into low liquid market as usually observed in commodity markets which are comparatively highly liquid as compare to other markets.

Another aspect may be presented that Liquidity risk is the non-availability of cash to pay a liability that falls due. A company is deemed to be financially sound if it is in a position to carry on its business smoothly and meet all the obligations - both long term as well as short term - without strain. Assessment of the efficiency with which the funds are put to use is very important for credit analysis.

Liquidity Risk arises largely due to maturity mismatch associated with assets and liabilities of the company. Liquidity risk stems from the inability of the company to fund increase in assets, manage unplanned changes in funding sources and meet financial commitments when required.

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RVSPL has its own multiple internal sources of funding and further avenues of funding are underway. Apparently, the company has no such type of Liquidity Risk to fulfil its long-terms and short-term liabilities. The major funding source for any company is by way of equity share capital, debentures and subordinated debts. Though these are external sources of funds the company is exposed to following risks;

- Mark-up Rate risk arises because of increase in cost of funds due to an overall increase in the Mark-up rates of an economy.
- Asset-Liability Mismatch can lead to severe liquidity shortfall and result in significantly higher costs of funds
- A high degree of leverage risk can severely impact the liquidity profile of the company and lead to default in meeting its liabilities.

7.3.1. Mitigation Policy

The Company has implemented liquidity management policy for reducing the risk relating to liquidity issues. The company maintains a strong liquidity position from its own resources. Currently the policies relating to liquidity for any company like RVSPL may be as follows;

- The company targets to maintain healthy levels of capital adequacy ratio over and above limits prescribed by the regulators.
- The company ensures to keep liquidity to cover unexpected payment obligation.
- Limits on exposure e.g., leverage and open positions
- Strict monitoring of margin and collateral value

7.4. Regulatory, Compliance and Legal risk

Like all broking houses, RVSPL and other companies in capital markets are regulated principally by the apex market regulator and have reporting obligations to Securities and Exchange Commission of Pakistan (SECP). Such companies are subject to the corporate taxation and other laws in effect in the country. The regulatory, compliance and legal framework governing brokerage industry may continue to change with Pakistan's economy and commercial and financial markets evolve.

RVSPL like other Commodities Future Brokerage Companies exposes to Regulatory risk when unexpected amendments in existing regulations and/or new rules and regulations are

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changed causing to transform the pattern of trading unfavourably. For example, new environmental guidelines and directives may significantly impact the trading in Energy Future Contracts, the Mineral and Metal Policy of the Government may have direct impact on Metal Future Contract etc.

The Company's directors, management, and staff must operate in compliance with a myriad of laws, rules and regulations. Compliance risk arises from violations of or non-conformance with those laws, regulations, or non-Compliance with covenants lay down by market players and prescribed practices which govern the RVSP's activities. Legal risk arises from the potential that unenforceable contracts, lawsuits, or adverse judgments can disrupt or otherwise negatively affect the operations or condition of an organization. Legal risk also arises from violations of or non-conformance with laws, regulations, prescribed practices or industry standards, or ethical standards. Compliance and legal risks may potentially subject RVSP and its directors and officers to fines and civil money penalties by regulators and result in lawsuits by customers and others. Exposure to compliance and legal risks can also dramatically affect the RVSP's reputation, strategic alternatives, and operations.

The Company has to ensure compliance with regulatory and statutory requirements. Non-Compliance can result in stringent actions and penalties from the Regulator and/or Statutory Authorities. The company is mitigating the risk through regular review of legal compliances carried out through internal as well as external compliance audit. These risks can take the form of:

- Non-Compliance with SECP Regulations vis-à-vis Commodity Exchange and Future Contracts Rules, 2005, Future Market Act, 2006, Futures Brokers (Licensing and Operations) Regulations 2018 and CKO Regulations, 2017, PSX Regulations etc.
- Non-Compliance with Income tax Act, Companies Act, AML-CFT Regulations, 2018 and other applicable statutory regulations.

7.4.1. Mitigation Policy

The various departments of the Company shall work together for monitoring, review and compliance of the applicable provisions reporting to CEO/Board of Directors.

- The Company has a dedicated resource to play role as Compliance Officer who is responsible to conduct duties of compliance in various departments.

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- Internal Audit also conducts audit of compliance function preferably on a quarterly basis or as and when directed by the top management and BODs wherein all regulatory compliances are reviewed in detail.
- Quarterly Compliance Certificate/Report certified by the CFO is submitted to the Board preferably on quarterly basis or as and when required by BODs.
- Periodic reports shall also be sent to SECP for their review.

7.5. Reputation Risk

- a) Reputation risk is the risk to earnings and risk to capital arising from adverse perception of the image of the company from the part of various stakeholders and regulators.
- b) This risk may arise from the company's reputation getting tarnished due to factors such as unethical practices, regulatory actions as a result of violations/non-compliances, customer dissatisfaction and complaints leading to negative publicity.
- c) Reputation risk is the potential that negative publicity regarding an institution's business practices, whether true or not, will cause a decline in the customer base, costly litigation, or revenue reductions, often as a result of poor earnings, regulatory censure, significant fraud or litigation and failure to provide services or products in conformity to the local market and its competitors.
- d) This type of risk affects the Company's ability to establish new relationships or services or to continue servicing existing relationships.
- e) Reputation risk exposure is present throughout the organization and is driven to a large extent by the Company's actions to manage compliance, strategic, credit, interest rate and other risks.

7.5.1. Mitigation Policy

The Company has trained all its employees for ensuring customer satisfaction, ensuring compliance of fair practice code, reducing the level of stakeholder complaint etc. In case of any complaint received from a client, a Grievance Redressal Mechanism has been implemented by the company through which complaint / dispute are redressed. The Grievance Redressal Panel or Cell headed by Manager/CFO or any other senior level member from senior management who will be acting as the Grievance Redressal Officer of the company. To meet regulatory

requirement, the Redressal Grievance Mechanism and the address of the officer will be displayed in the office premises.

7.6. Mark-Up Rate Risk

- a) Mark-up rate risk is the risk where changes in market mark-up rates might adversely affect the financial condition of a Future Brokerage company. Consequently, the changes in mark-up rates affect RVSP in a larger way in connection with the financing of leverage position opened in future contracts and investment in commodities trading.
- b) The immediate impact of changes in mark-up rates is on RVSP earnings by varying its Net mark-up Income. The mark-up rate risks are viewed from earnings perspective and economic value perspective', respectively.
- c) Over the last several years, the Government and the SECP as well, has substantially regulated the financial and non-financial sector. As a result, mark-up rates are now primarily determined by the SBP foreseeing the market.
- d) Mark-up rate is determined and declared by the State Bank of Pakistan (SBP) in its Monetary Policy held after every two months.
- e) Mark-up rates are sensitive to many factors beyond our control, including the SBP's monetary policies, domestic and international economic and political conditions and other factors.
- f) Rise in inflation, and consequent changes in bank rates, repo rates and reverse repo rates by the SBP has led to an increase in mark-up rates on loans provided by banks and financial institutions.
- g) During the epidemic of COVID 19, the mark-up rates were drastically decreased to provide ease for the borrowers. However, this relief was temporarily for revival of economic activities globally.

7.6.1. Mitigation Policy

Following is the Mark-up Policy implemented in order to reduce risk;

- The company may avoid financing leverage positions to reduce risk of mark-up rate and may levy penal interest for any delay or default in making payments of any dues.
- The clients may be compelled to keep sufficient deposit in their accounts

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- The Company shall demand client to deposit amount on upfront basis in respect of any purchase order, margin amount etc.

7.7. MIS Risks

Being an IT intensive company, as the importance of MIS is permanently increasing, it is worth to distinguish it as separate main risk type with two aspects:

- System integrity risk – the integrity of the information systems, whether computerized or manual,
- Efficiency of the system risk – effective software programs, security of the data (back-ups, virus).

7.8. Strategic Risk

Strategic risk results from adverse business decisions or the improper implementation of those decisions, besides adoption of wrong strategies and choices. This risk is a function of the compatibility of an organization's strategic goals, the business strategies developed to achieve those goals, the resources deployed to support achievement of those goals, and the quality of implementation.

Strategic risk includes the misalignment of business and technology strategic plans, the failure to achieve economies of scale in “scale” driven businesses or improper market positioning and pricing of products and services. Properly managing these risks is not only critical to the conduct of safe and sound trading activities, but also crucial to the success of the company.

7.8.1. Mitigation Policy

The BODs and the higher management are proactive in its approach towards changes in economic/business environment as the business strategies are regularly discussed at the Board level and in the Committee of officials constituted by the Board as well after due consultation with the senior officials of the Company so that adequate steps can be taken. Also, important strategic matters are referred to the Board, consisting of members with diversified experience in the respective fields.

7.9. Human Resource Risk

RVSPL has dedicated Human Resource personnel adding values to the entire company by ensuring that the right person is assigned to the right job and that they grow and contribute towards organizational excellence. The growth of the company has been driven by the ability to attract top quality talent and effectively engage them in right jobs. The company shall assign different assignments to different employees on the rotation basis. Risk in matters of human resources are sought to be minimized and contained by following a policy of providing equal opportunity to every employee, inculcate in them a sense of belonging and commitment and also effectively train them in spheres other than their own specialization. Employees are encouraged to make suggestions on innovations, cost saving procedures, free exchange of other positive ideas etc. It is believed that a satisfied and committed employee will give of his best and create an atmosphere that cannot be conducive to risk exposure. Employee's compensation is always subjected to fair appraisal systems with the participation of the employee and is consistent with job content and individual performance.

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Human Resource Policy and initiatives: Various programs and initiatives shall be carried out by the HR to retain talent and motivate them on a regular basis. HR also conducts training, workshops and motivational programs for employees of the company to follow code of conduct and other HR related policies and procedures.

8. RISK MANAGEMENT AND INTERNAL CONTROL RESPONSIBILITIES

Risk Management is most effective when managers and employees are familiar to risk. It cannot be imposed; managers should be aware, and integrate it with the business management practice. Implementing risk management entails a great deal of resources, in terms of training, developing processes and techniques, management system etc. The ultimate responsibility for risk management rests with the Board of Directors (BODs). Management and staff of the Company also have clearly defined responsibilities for risk management.

8.1. Board of Directors (BODs) Responsibilities

It is the responsibility of the Board, in conjunction with Management, to determine those risks which are warranted and acceptable, based on the Management's ability to:

- a. Identify and understand such risks,
- b. Measure the degree of exposure to such risks,
- c. Monitor the changing nature of the risk and related exposure, and
- d. Develop and implement processes and procedures to control such risks.

The Board and Management will define risk tolerances (i.e., limits) in the policies of the Company. The Management will ensure that periodic reports are provided to BODs that permit them to measure Management's compliance with risk limits and to gauge the changing nature of risk inherent in the Company's chosen lines of business and operations and as a result of changing factors within the Company, such as Management and personnel changes, technology changes, etc.

Management Responsibilities; Management is charged with employing personnel with the appropriate skills and experience to identify, measure, monitor and control risks within the areas of their expertise.

8.2. Officers Responsible for Risk Management

In addition to the prescribed committee or staff members' structure of the company, RVSP charges responsibilities of risk.

- a) **The Chief Executive Officer** is primarily responsible for the management of strategic business and strategic technology risk. This objective is fulfilled in conjunction with the relevant Committee/authorised personnel of the Board of Directors and through the annual preparation/update of a strategic business plan and strategic technology plan.
- b) **The Manager/Head, Compliance and Risk Management Department** – responsible for
 - Compliance of rules and regulations to the extent of transactions carried out on behalf of customers
 - Ensures statements of Net worth and Net Capital Balance are submitted with the PMEX as per timeline provided in the Future Broker Licensing and Operation Regulations, 2018 and with the PMEX Regulations and

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- The risk management of the collateral pledged with the company against the exposure on leverage and open positions availed by the customers.
- c) **The Chief Financial Officer (CFO)** - Responsible for ensuring the accuracy of general ledger accounting information and the internal and external financial reports provided to the Board of Directors, Management and regulatory authorities. To fulfil this responsibility, the Chief Financial Officer will be primarily responsible for ensuring the monthly completion of the general ledger certification program. CFO will ensure that the minimum paid-up capital, net worth, Net Capital Balance of the company are calculated and maintained in compliance with the **Future Broker Licensing and Operation Regulations, 2018** and with the **PMEX Regulations**. The CFO is also responsible for evaluating and taking the lead in managing liquidity risks and mark-up rate risks, as well as evaluating credit risk in the RVSP's investment portfolio. In this regard, the CFO will be responsible for maintaining and reporting results of mark-up rate risk/shock, liquidity forecasting and stress testing and capital models. Reports from these models and results of on-going risk assessments will be reported to the Management Committee/designated officials and to the Board of Directors.
- d) **The Head, IT** - Responsible for information technology risk management, including information technology security. The Head, IT is aided in this effort by the Company's primary technology vendor, who provides certain data processing and data security services, including maintenance of the Company's Internet firewalls and intrusion detection systems.
- e) **The Manager, ADMIN/Security Officer** - Responsible for ensuring that:
- appropriate security procedures have been established and physical security devices installed, commensurate with the identified risk exposures and in compliance with the Company's Policy.
 - employees are properly trained in the execution of security procedures and use of security devices; drill session should be conducted periodically and
 - losses are appropriately investigated.

9. RISK TOLERANCES

The Board and Management desire to manage risks at a level that permits the Company to grow and achieve its strategic business objectives, while conducting business in a safe and

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sound manner, complying with all applicable regulations, and provide a return to shareholders that meets or exceeds their expectations. The Board of Directors will set risk tolerance levels annually through several means. The overall risk environment of the Company will be considered annually in conjunction with the strategic planning process of the Board of Directors and Management. In this regard, the Strategic Plan will include a Risk Appetite Statement. Specific levels of risk tolerance within key business units, such as concentration risk, interest rate and liquidity, will be set annually through the review, and if necessary, amendment of the Company's business programs related to those areas. Specific risk tolerance limits and guidelines will be included, as appropriate, in the Company's Policies.

10. MONITORING THE RISK MANAGEMENT AND INTERNAL CONTROL PROGRAM

The Internal Auditor is primarily responsible for ensuring adherence to the Risk Management Program and Policy. The Internal Auditor will monitor the conduct of the various committees/departments to ensure each committee/departments functions in a manner that appropriately addresses risk issues facing the company. Further, Internal Auditor shall also oversee the internal controls and compliances in respect of pre-trades and post-trades activities carried out in future and spot contracts.

10.1 Monitoring/Surveillance:

Compliance and Risk Management (CRM) Department will monitor the value of security against which leverage positions have been provided as well as the conduct of the customer on regular basis. Timely action has to be taken in case there is any deterioration either in enforceability or value.

The following items needs to be monitored:

- Price of underlying Security of the contract
- Open positions yet to be settled
- Liquidity of security
- Regulatory issues

For risk management purpose, the following actions shall be taken by CRM Department:

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- Margin calls for cash or share top up in line with leverage and open contracts to be sent to client by any mode of communication vis-à-vis SMS/email/Phone call/written notice etc.
- Failure to satisfy margin calls and customer is in default, action to be taken to enforce and liquidate security to recover the outstanding dues
- Detailed report on margin and exposure limit to be monitored on a daily basis
- Any significant development in regulatory/reputation issues must be highlighted to the CEO

10.2 Auto Square-off Policy

Apart from auto-square-off intra-day open positions at day-end by the system, the Company shall be entitled to square-off outstanding open positions of the clients in situation where;

- a) Non-Clearance of ledger debit balance before opening of next trading session
- b) Margin obligations are not fulfilled on intra-day basis

10.3 Internal Control & Compliance:

Auto liquidation of collateral shall hit or become effective in case of any violation and/or margin shortfall occurs. However, squaring-up of open position may be opted to reduce the exposure at the desired level. Such action shall be done preferably with intimation to the customer and the higher management.

11. TRAINING AND CERTIFICATION PROGRAM

To ensure the accuracy of general ledger accounting information, financial statements and management accounting reports and to assess compliance with key internal controls, the Company will develop and maintain an "on-going "certification program" and training program for capacity building of the staff. This program, monitored primarily by the Internal Auditor, Chief Financial Officer (CFO) in consultation with HR, will include:

- a) periodic reconciliation of key general ledger accounts to the appropriate sub-ledger system,
- b) Statements of minimum Paid-up Capital, Net worth, Net Capital Balance are in compliance with the regulation,
- c) periodic analyses of certain general ledger accounts,
- d) Monitoring/testing of key internal control and security procedures (i.e., security equipment testing, branch security procedures, etc.). Results of the certification will be tested periodically by Internal Audit.

12. STRUCTURE AND RESPONSIBILITIES

Responsibilities and risks are intertwined; Responsibility for risk management is shared across the organization. To ensure adequate segregation of duties and to monitor the performance of duties and adhering of internal policies, procedures, rules and regulations, key responsibilities have been divided into the following groups which include:

12.1 The Board of Directors (BODs)

The BODs is mainly responsible;

- a. To establish the business norm and define risk tolerance levels, setting limits for risk exposure and review it periodically or on need basis
- b. Review and approved the related policies, margin percentage, risk profile of clients, the risk limits and procedures annually or as and when required
- c. For satisfying itself annually or more frequently as required, that management has developed and implemented an effective risk management framework. Detailed work on this task is delegated to the Compliance and Risk Management Department and/or relevant Committee/Panel formed and reviewed by the full Board.
- d. The Board of Directors, in their board meetings, will oversee the implementation of the system and review its functioning periodically.

12.2 Risk Management Panel/Auditor

The Panel, Auditor and/or relevant Committee/authorised /relevant personnel assist the Board;

- a) In overseeing the group's risk profile and are responsible for overseeing management's actions in the identification, management and reporting of material business risks.
- b) Monitoring the hedging activities and trading positions to ensure these are within the limits as prescribed.
- c) Upon detection of non-compliance or breach of limit, intervene immediately.
- d) Surveillance of risk-creating transactions.
- e) Periodically review of trading and risk limits.

12.3 Compliance and Risk Management Department

The Compliance and Risk Management (CRM) Department plays a pivotal role to avoid any turmoil in the Company that may occur in consequences of non-compliance of Rules, Regulations, Laws and other obligations the Company might have in its commodities trading business. The staff members of the CRM Department in collaboration with HR Department shall make sure that the Company's conduct and the employees as well, comply with the rules and regulations and adhere the code of conduct, policies, procedures and other internal controls. So the structure is built to create environment where compliance with the law is considered mandatory at any cost. The department is mainly responsible;

- a) For managing the regulatory and trading risks related activities in order to avoid any kind of reputational and/or financial loss of the company.
- b) To ensure that margin regime, collateral and exposure limits are monitored on daily basis and are commensurate with the regulatory framework. In case of any violation of rules and regulations is detected then necessary action is initiated in a timely manner preferably with the prior approval of higher management.
- c) To identify risks, come up with strategies to safeguard against these risks, to execute these strategies, and to motivate all members of the company to cooperate in these strategies.

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- d) For assessing each risk and determining which of them are critical for the business?
The critical risks are those that could have an adverse impact on the business; these should then be given importance and should be prioritized.
- e) To make sure that the company only takes the risks that will help to achieve its primary objectives while keeping all other risks under control.

12.4 Operations Department

The staff members of the department deal with daily business operational matters and are responsible;

- a) Recording of all business transactions
- b) KYC and account opening form maintenance as per regulatory requirements
- c) Monitoring of trading limits and the policy compliance
- d) Dealing with the customers

12.5 Accounts and Finance Department

The department is responsible to manage the liquidity position of the company in terms of the current and future payment and also arranges for unforeseen payments. Any liquidity crunch may damage the reputation of the company in the market. This department is responsible for budgeting and prepare appropriate cash flow requirements to enter and maintain hedging positions as per annual business plan.

- **Controlling** the risks through a formal program is necessary for the well-being of the organization and everyone in it. The jobs and services the company provides the safety of the workplace and other benefits all depend to an extent on our ability to control risk.

13. STRESS TESTING

The Company shall conduct proper stress testing policies and procedures as per established stress testing methodology and frequency, review and reporting mechanisms. The Company understands and shall ensure that such methodologies and mechanism commensurate with the stress testing requirements set by the PMEX and/or any other regulatory body.

Risk Management Policy

Stress testing is a risk management tool used to evaluate the potential impact on financial variables. The Company shall conduct stress testing periodically and during a high volatile market to identify any potential financial vulnerability. The expected outcomes of stress testing would be:

- To project loss (loss exceeds the net equity balance of the account) that might arise in each client account and estimated impact of such losses on the financial strength of RVSPL.
- Margin calls that might arise on account of losses generated during stress testing

The impact of a projected over loss on the futures broker's Excess Liquid Capital and available funding is equal to the amount of the projected over loss on the assumption that all the positions in the client account would be closed out when the over loss arises and the futures broker would be required to settle the over loss for the client with its counterparties using its own funds. It is an authentic fact that operational disruptions expose vulnerabilities in the ability of an entity like RVSPL to cope with stress events vis-à-vis financial distress that may result in the abrupt discontinuation of commodity future trading business of the Company, with a significant impact on its clients. Hence, an event which might increase or decrease of supply and demand of the underlying commodity, the Company should ensure to retain sufficient collateral in each client's account to meet the margin calls and/or loss due to price fluctuations instead to use equity/fund of the company. In order to avoid such scenario, it is expected that the Company has adequate resources and establish effective procedures to properly carry out its business activities.

The designated staff members involved in stress testing process shall prepare stress testing report for review of senior management and onward submission to BODs. A designated senior management staff should be responsible to brief BODs the results of stress testing report.

The Company should promptly and diligently assess stress testing results with a view to identifying any potential threat to its financial stability, and take prompt follow-up action. The real essence of conducting stress testing is to compare the total projected loss in all clients' accounts and total projected trading loss in proprietary accounts.

14. REPORTING REQUIREMENTS

The reporting process of the company will be developed as requirements and risk management leading practice evolve. Annual content will include a risk profile setting out the most significant risks faced by the company, and for each risk will:

- describe the risk;
- document the key activities and controls to mitigate/manage the risk;
- identify the residual risk;
- refer to action plans taken to address any weaknesses; and
- Draft a risk appetite statement for each key strategic risk.

Further, on a bi-annual/annual basis, updated information materially affecting the risk profile (e.g. market developments) will be provided which will enable the Board to understand the likely future risk profile of the company. These will be reported to the Board by the Compliance and Risk Management Department/Committee/Audit Committee as soon as practicable and at least annually. The risk assessment carried out shall consider all the relevant risk factors before determining the level of overall risk and the appropriate risk level and type of mitigation to be applied. This assessment shall be documented, updated regularly and made available to competent authorities and self-regulating bodies as and when required. In case of the change in perception the risk assessment of PEP customer should be again done to ascertain whether it is prudent to continue with the exposure with such PEP customer or not. In case it is felt that the trading activities are not risk free the trading activities may be halt for instant settlement and may be resumed with strict margining and leverages backed by cash/collateral.

15. AUTHORITIES

In the event of adverse market volatility and thereon increasing risk of suspected default, only CEO can decide outside of the limit established by the BODs and this Policy after obtaining final approval from the BODs through Resolution by Circular.

16. COMPLIANCE

All the employees are encouraged to follow strictly the policy and procedures in its true spirit and report to their immediate boss or senior in case of occurrence of any violation of regulations and breaches of this Policy.

The Head/Manager of every department is responsible to ensure the Policy is followed by its subordinates in its letter and spirit. However, CEO, Head/Manager, HR and CFO are responsible for ensuring all employees conform to this policy.

17. CONCLUSION

In conclusion,

- i. The risk management is very important to any business organization with or without facing risks. An effective risk management plan should have early and aggressive identification of risks through involvement and collaboration of relevant stakeholders.
- ii. Risk management describes organization decisions on how they deal or will face various risks if they occur.
- iii. It also helps to determine different ways and measures to control those risks and providing assurance to the organization that it can create and implement an effective management plan to minimize or prevent losses occurrence.
- iv. A good risk management plan should state clearly strategies techniques to be used to recognize and confront threats and vulnerabilities facing the company and provide possible solution to the problems.
- v. Further it is worth to mention that the risk analysis process assists the effective and efficient Operation of the organization by identifying those risks which require attention by the management. They will need to priorities risk control actions in terms of their potential to benefit the organisation.

18. REVIEW AND AMENDMENTS IN THE POLICY

This Policy shall be reviewed annually and updated periodically to incorporate the amendments, if any, made by SECP, PMEX or any other regulators or to incorporate the changes necessitated due to changes in the market condition or to strengthen the internal control or for such other reason as deemed fit. The company is authorised to change the above mentioned at its sole discretion without any notifications. The company shall not be liable to entertain any claim by any party. In case of default by any accountholder, the company is entitled to square-off the open position and/or liquidate the collateral to meet the obligations on part of the client.

19. REGULATORY FRAMEWORK

19.1 Primary Legislation

- SECP Act, 1997
- Companies Act, 2017
- Futures Market Act, 2016
- Anti-Money Laundering Act, 2020

19.2 Secondary Legislation

- Futures Exchanges (Licensing and Operations) Regulations, 2017
- PMEX Rule Book
- Futures Brokers (Licensing and Operations) Regulations, 2018
- SECP (AML & CFT) Regulations, 2020
- Listed Companies (Code of Corporate Governance) Regulations, 2019
- Securities and Futures Advisers (Licensing and Operations) Regulations, 2017.

20. DISCLOSURES

Right Vision Securities (Pvt.) Limited does not advice, recommend or solicit the trading in future products offered by the Company at trading platform of Pakistan Mercantile Exchange (PMEX). Being a leverage market, there is substantial risk involve in trading of Future Contracts and Foreign Currency pairs, hence, it does not suit to all investors because of probability to lose the initial investment and the profits as well. Hence, it is strongly advised only to invest the spare money in commodities future trading which can be affordable, if lost without affecting financial stability.

Being a responsible investor, always Participate in Commodities Futures Market Contracts with clear investment objectives, resilient holding power and risk appetite. Essentially, invest a portion of spare money in commodities that you might not be needed to liquidate your investment to meet near future necessities as considerable exposure to risk is suspected in Commodities Futures Transactions. As Commodity Market is highly volatile that may substantially affect the price or liquidity of future contracts traded in commodities and financial products. In view of leverage nature of Commodities Future Contracts that any adverse market movement against your open positions may considerably affect your financial strengthen in terms of meeting margin calls and the deposited funds. In such scenario, you might not be able to maintain your open positions and probably sustain a total loss of initial margin and your inability to deposit additional margins. In case of failure to meet any margin requirements, auto-liquidation functionality may result further losses. Hence, the outstanding leverage positions in the Commodities Market may magnify your profits as well as the losses depending on the market trend.

Moreover, always bear in mind the risks associated with Internet Based Trading System (IBTS) that likely to be occurred e.g., Internet disconnection, lack of liquidity due to high volatility, halt in the market in disaster like situation, disruption in the trading system due to failure of hardware, software and internal connections etc.